

Sustainably Connecting Energy and Communities



2021 SUSTAINABILITY REPORT





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Unless otherwise noted, all information, data and metrics in this report are as of December 31, 2021.

A Message From the CEO

Sustainably Connecting Energy and Communities

It goes without saying that 2021 was another challenging year as we continued to deal with the ongoing impacts of COVID-19 and its variants on our employees and their families, our operations and our industry. Despite the many challenges, I am proud of our employees for stepping up to help make 2021 another successful year for NuStar on many fronts. Examples of this success include our safety and environmental performances, both of which were among the best in our company's history.

We continue to be a leader in safety, including having a significantly better Total Recordable Incident Rate (TRIR) than the industry average. We are also proud to have been recently awarded the International Liquid Terminals Association's (ILTA) Safety Excellence Award for the 12th time. Similarly, our environmental performance continues to be strong, with releases accounting for just 0.00068% of our 2021 total annual throughput of 835 million barrels. Safety and environmental excellence will always be a core business value for NuStar. We continually strive to go above and beyond in protecting the environment and in ensuring the safety of our employees and contractors, as well as the communities in which we operate.

We are proud of the work we do, and we are committed to doing it well. Through the hard work of our employees, NuStar plays a crucial role in safely and reliably moving the energy that powers our day-to-day lives.

Motor fuels – whether petroleum-based or renewable – are critical to our country's energy security, and the ammonia we move on our Ammonia Pipeline is critical to our country's food security, helping American farmers grow crops that provide affordable, healthy foods to feed our communities and biofuels that lower emissions.

Traditional sources of high-density energy, like the petroleum products we transport and store, will continue to be an important part of our energy supply for many decades to come.

We are also excited about NuStar's current and emerging role in new energy opportunities, to lower emissions and generate solid returns for our investors, such as our West Coast Renewable Fuels Network and new projects in development for our Ammonia Pipeline. By continuing to supply energy to the markets we serve, while remaining committed to doing the

right thing – for our unitholders, our employees, our communities and our planet – we are building a resilient and financially flexible business positioned to provide value, both now and in the future.

Thank you for your interest in NuStar!

Sincerely,



Brad Barron, President and CEO





About NuStar

Continuing Sustainability Excellence in 2021

During 2021, we continued serving our communities and ensuring they had the reliable fuels needed to power their everyday lives. While the last few years have tested our industry more than any other time in recent history, our excellent sustainability performance demonstrates the strength of our assets and resiliency of our company to meet future energy challenges.

Company Overview

NuStar Energy L.P. is headquartered in San Antonio, Texas and is one of the largest independent liquids terminal and pipeline operators in the nation, responsibly storing and distributing renewable fuels, ammonia, refined products, crude oil and other liquids. As of December 31, 2021, NuStar had 1,267 employees and operated, primarily in the United States, approximately 9,935 miles of pipeline and 64 terminal and storage facilities with a combined system comprising roughly 57 million barrels of storage capacity.

NuStar's years of dedication to community, sustainability and resilience is a result of our strong corporate culture, which reflects the vision and leadership of our Chairman, Bill Greehey, and NuStar's nine Guiding Principles.

Our Guiding Principles are the foundation of everything we do: how we treat each other, the environment, our communities, our customers and business partners. As a result of our strong culture and our Guiding Principles, NuStar has received numerous awards including being named to FORTUNE Magazine's "100 Best Companies to Work For" list 12 times, FORTUNE Magazine's "Best



Workplaces for Millennials" list five times and Latino Leader Magazine's "Best Companies for Latinos to Work" list two times. We have also been awarded the International Liquid Terminals Association's (ILTA) Safety Excellence Award 12 times. Our commitment to making a difference not only ensures that NuStar continues to provide our communities with safe, reliable and affordable access to fuels, but also ensures that we continue to support our employees and build value for our investors. While we are proud of those honors and awards, we are even prouder of the work we do every day: safely and reliably supplying the energy that fuels modern life, contributing to our communities in the markets we serve and building value for our unitholders.

NuStar's Guiding Principles



SAFETY

Take care of yourself, others and the environment.

INTEGRITY

Be honest at all times.

COMMITMENT

Work hard and take responsibility.

MAKE A DIFFERENCE

Make a difference in your job and your community.

TEAMWORK

Be helpful and seek help from others when you need it.

RESPECT

Be respectful of others at all times.

COMMUNICATION

Make sure people know what they need to know and when they need to know it.

EXCELLENCE

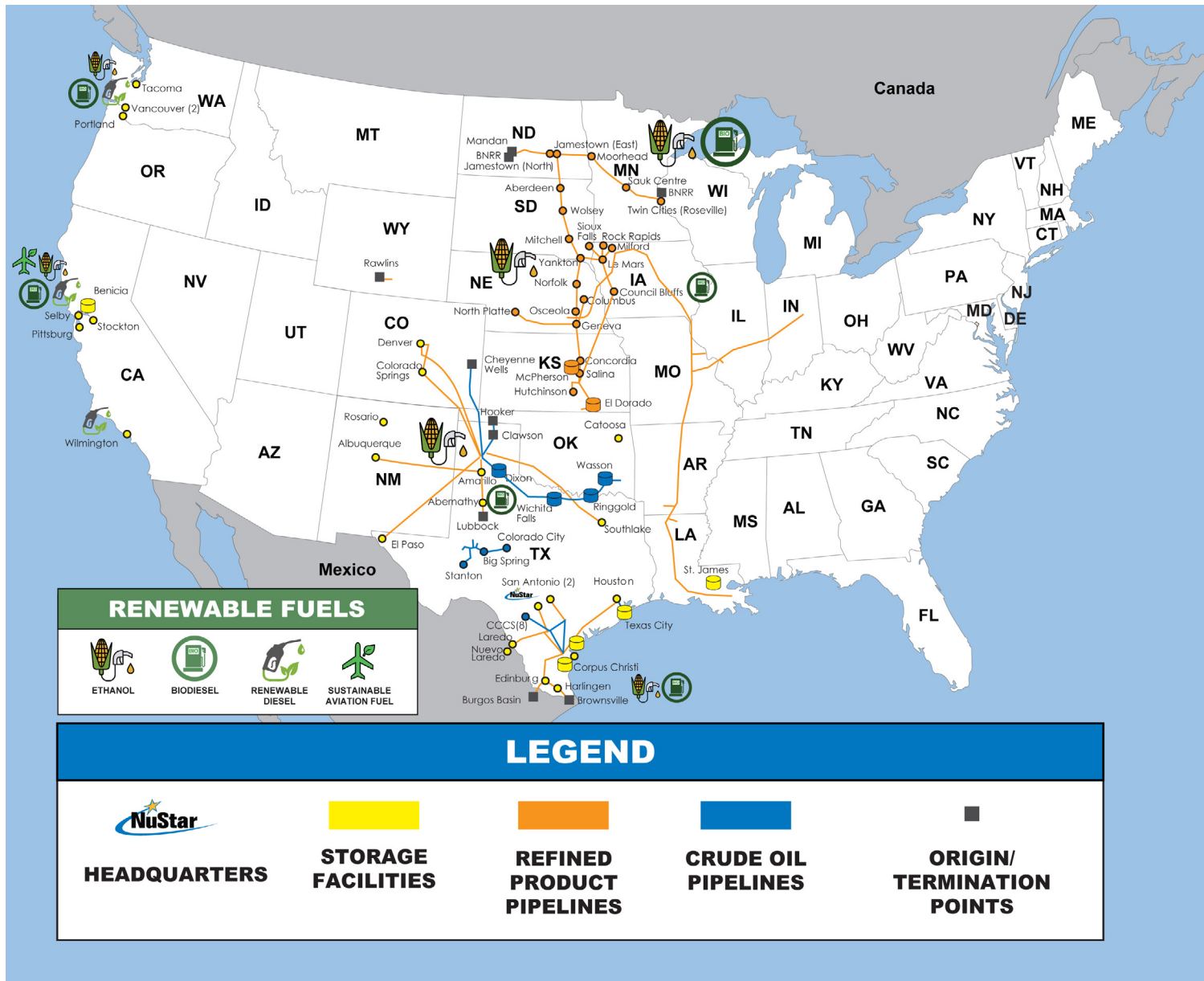
Expect the best from yourself and from each other.

PRIDE

Take great pride in everything you do.

Operations Map

As of December 31, 2021, we had operations in the United States, Canada and Mexico. We sold our Canadian operations on April 29, 2022, which are not included on the map below.



Service to Our Communities

To power modern life, our communities need to stay connected to reliable, convenient and high energy density fuels. We are proud to be a company that safely transports and stores liquid fuels, including fossil fuels and lower carbon intensity renewable fuels, in an environmentally responsible way to meet those needs. These high energy density liquid fuels are used in the vehicles that get us where we need to go, whether that is commuting to work, shopping for groceries, taking our children to school or flying on an airplane to visit family and friends. The liquid fuels that we transport and store also provide the energy our society depends on to reliably power everything from the trucks and airplanes that deliver goods and products, the generators people rely on in emergencies and essential services vehicles used by our first responders and military.



Whether for powering rescue vehicles for first responders to save lives, transporting us to and from our daily errands or delivering food and packages quickly, our society depends on liquid fuels, and NuStar is proud to have been connecting people with that energy, safely and sustainably, for more than 20 years.

In addition to storing and transporting the liquid fuels that power urban communities, we are proud to serve America's farmers and rural areas where the reliability and convenience of these fuels can be even more important. NuStar plays a vital role in helping to ensure America's food supply – from fueling for tractors, to supplying the ammonia America's farmers use to fertilize their fields and increase crop yields, to fueling the trucks that transport food from the farm to your table, NuStar plays an integral part in bringing affordable, healthy foods to our communities, throughout the Midwest and across the country. In addition, we look forward to developing future partnerships to supply 'green' and 'blue' ammonia, for existing applications and for exciting future opportunities, like renewable electricity generation and safe, efficient transportation of hydrogen to power fuel-cell vehicles.^[1]

We are also proud of our contributions to America's economic well-being and energy independence, and we plan to continue to provide our communities with the reliable liquid fuels they need for decades to come, safely and responsibly, so our communities can continue to be secure and thrive.

[1] "Blue" ammonia is produced with natural gas, but the associated emissions are captured and stored. "Green" ammonia is produced using "renewable" electricity to power an electrolyser to extract hydrogen from water and an air separation unit to extract nitrogen from air, which are then combined, through a chemical reaction powered by renewable electricity, to produce ammonia.

Our Continuing Tradition of Sustainability

We are committed to maintaining our 20-plus-year record of sustainability excellence, and we are proud to publish this Sustainability Report, updating our inaugural report.

In 2019, we formed an ESG Task Force to focus on sustainability reporting and build upon our best practices. In 2020, we created our Sustainability Working Committee to enhance our sustainability disclosures. This committee includes representatives from Environmental, Safety, Human Resources, Corporate Communications, Investor Relations, Legal, Operations, Accounting, Business Development, Internal Audit and other departments. In 2021, we promoted our commitment to ESG excellence in alignment with our strategic goals and we also launched our Sustainability webpage.

This Sustainability Report continues to highlight our performance and is informed by guidance from the Energy Infrastructure Council (EIC) and the Sustainability Accounting Standards Board (SASB). Unless otherwise noted, all information, data and metrics in this report reflect our worldwide operations as of December 31, 2021 and include any divested assets through the date of divestment. For any questions regarding our Sustainability Report and performance, please contact NuStar at Sustainability@NuStarEnergy.com.



2021 Highlights and Economic Impact

Released only

0.00068%

of total annual throughput of 835 million barrels

\$4+ million

pledged to United Way in 2021

~\$395 million

Goods and Services Purchased
(including capital expenditures)

91%

of eligible terminals are OSHA VPP certified

14.6x

better Total Recordable Incident Rate than the
Bureau of Labor Statistics (BLS) safety data for
the Bulk Terminals Industry

~\$303 million

Distributions to Investors

Now a member of The Environmental Partnership^[1]

Reporting Greenhouse Gas Scope 1 and 2 emissions

Earned the ILTA's Safety Excellence Award, 2021

Best Workplaces for Parents, 2021

Best Companies for Latinos to Work, 2021

Best Workplaces for Millennials, 2021

~\$245 million

Employee Compensation and Benefits

~\$55 million

Taxes Paid (benefiting local,
state and federal governments)

~\$5.9 million

Community Investment (including
employee contributions to United Way)

[1] The Environmental Partnership is comprised of companies in the U.S. oil and natural gas industry committed to continuously improve the industry's environmental performance.



Environmental and Safety

Safely Moving Sustainable Energy

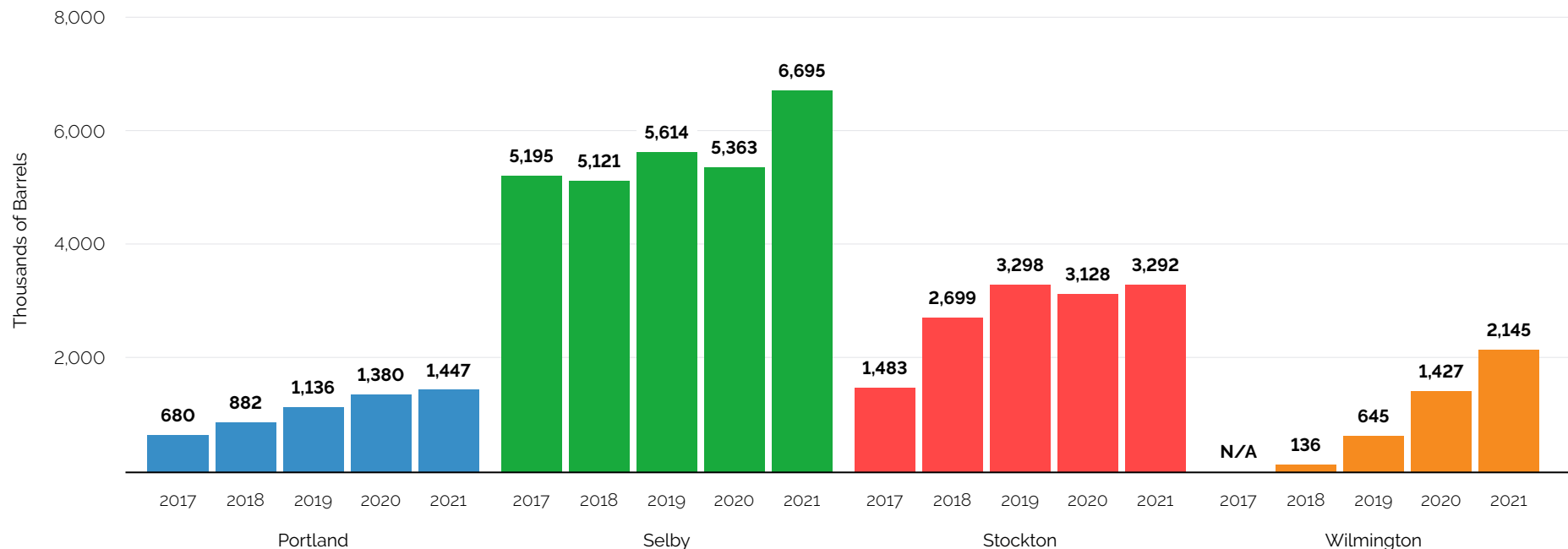
Pipelines and terminals are the most environmentally responsible and safest way to transport and store the liquid fuels that power our everyday lives and the ammonia that is integral to growing the food that nourishes our nation and the world.

Leader and Partner in Lower Carbon Intensity Fuels

We are committed stewards of the environment and a leader in the storage of liquid renewable fuels and in the transportation of the ammonia used to grow crops for both food and biofuels. Renewable fuels – both additives and alternatives that can be used with existing engines and refueling infrastructure – reduce transportation-related greenhouse gases now, meet the growing demand for energy and avoid the greenhouse gases it would take to build a new non-liquid fuels infrastructure.



NuStar's West Coast Terminals Renewable Fuels Growth^[1]



[1] Includes thousands of barrels per year of biodiesel, ethanol, renewable diesel, renewable feedstocks and sustainable aviation fuel

Our operations are well positioned to benefit from new production and conversion supply projects for renewable diesel, sustainable aviation fuel, ethanol and other renewable fuels as those markets continue to grow. We already play an integral role in storing the lower carbon intensity fuels that help the West Coast states reach their goals of reducing transportation-related emissions through Low Carbon Fuel Standards.

According to data from the State of California, in 2021, NuStar handled six percent of California's total biodiesel volume, 15 percent of the state's ethanol, about 23 percent of its renewable diesel volumes and 76 percent of its Sustainable Aviation Fuel (SAF) volumes. In fact, over one-third of our West Coast storage assets' revenue was generated by our renewable fuels-related services, demonstrating NuStar's ability to anticipate and find profitable, innovative ways to thrive as we navigate our nation's evolving energy priorities.

NuStar's Proportionate Share of California's Renewable Fuels Market (2021 Total Volume)^[2]



6%
Biodiesel



15%
Ethanol



23%
Renewable Diesel



76%
Sustainable Aviation Fuel

[2] California Air Resource Board (CARB)

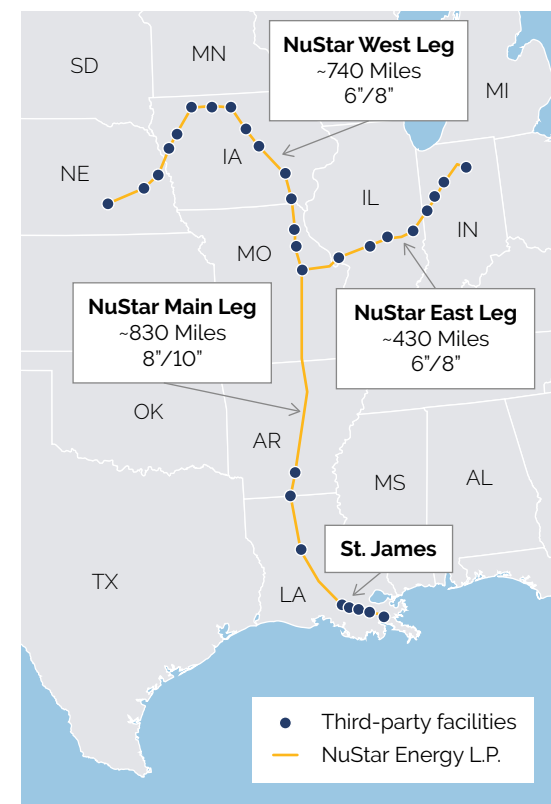
In 2022, we plan to invest \$10 million to expand our renewable capabilities on the West Coast. We look forward to continuing to invest in renewable fuels and continuing to implement our Guiding Principle of "Making a Difference." We take great pride in our work to help states and communities reduce emissions with the renewable fuels we facilitate across our assets.

We are also looking for ways to build a lower emission, less carbon intensive future through projects on our Ammonia Pipeline, which spans over 2,000 miles and across seven states from Louisiana, north along the Mississippi River to Missouri, and then northwest and east to Nebraska and Indiana. NuStar's pipeline offers the lowest-cost option for transporting the ammonia that is critical to fertilizing many of the fields American farmers harvest to feed the world and supply biofuel feedstock. We are working with customers to develop projects to explore 'green'

and 'blue' ammonia^[1] projects, which would be used for existing applications, as well as visionary future opportunities like renewable electricity generation and safe, efficient transportation for hydrogen to power fuel-cell vehicles.

[1] "Blue" ammonia is produced with natural gas, but the associated emissions are captured and stored. "Green" ammonia is produced using "renewable" electricity to power an electrolyser to extract hydrogen from water and an air separation unit to extract nitrogen from air, which are then combined, through a chemical reaction powered by renewable electricity, to produce ammonia.

NuStar's Ammonia Pipeline



Safely Moving Liquid Fuels With Lower Greenhouse Gas (GHG) and Other Emissions

We are committed stewards of the environment who embrace sustainability and provide a low-emissions option for transporting and storing the reliable and convenient liquid fuels essential to our communities, now and in the future, as energy demand continues to grow.

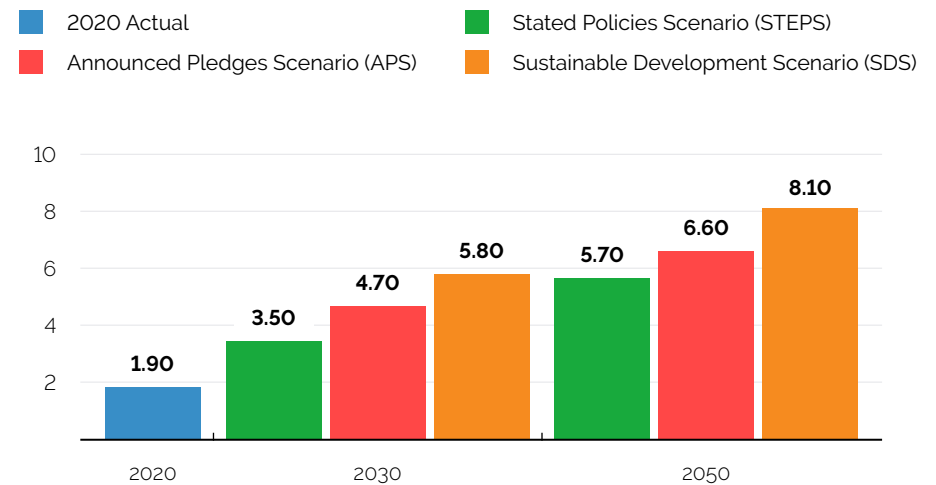
Our communities will need these reliable high energy density liquid fuels, including renewable fuels, for the foreseeable future, and pipelines are the lowest-emission transportation alternative^[1] and the most environmentally responsible^[2] way to store and transport liquid fuels. In addition, pipelines transport the fuels underground and out of the way, while other options like trucks add congestion and undermine safety on our nation's highways and generate more GHG emissions.

[1] Source: "[Lower Emissions](#)," Association of Oil Pipe Lines, 2021

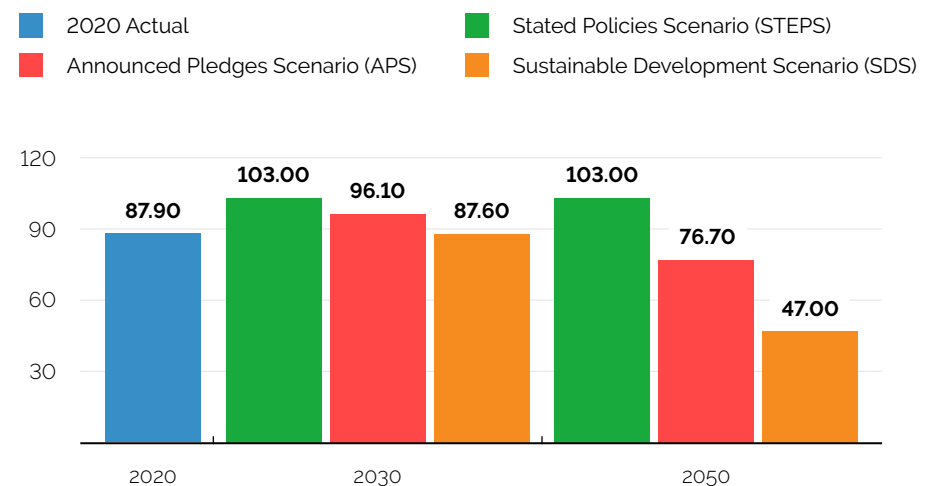
[2] Source: "[Lower Emissions](#)," Association of Oil Pipelines, 2021; "[Pipelines are Safest for Transportation of Oil and Gas](#)," Manhattan Institute for Policy Research, 2013

Utilizing America's existing pipelines and liquid fuels storage system with renewable fuels that can be used in most engines today not only offers our communities a way to reduce GHGs now while meeting the growing demand for energy, but it also avoids the GHGs that would be emitted to build a new, additional non-liquid fuel transportation and storage system.

Global Renewable Fuels Demand by Scenario (MMBPD)

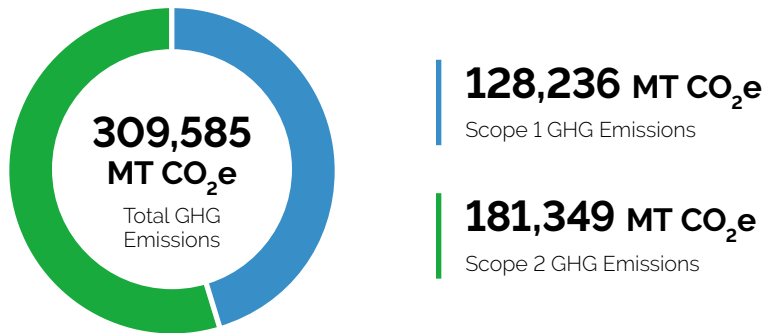


Global Oil Demand by Scenario (MMBPD)



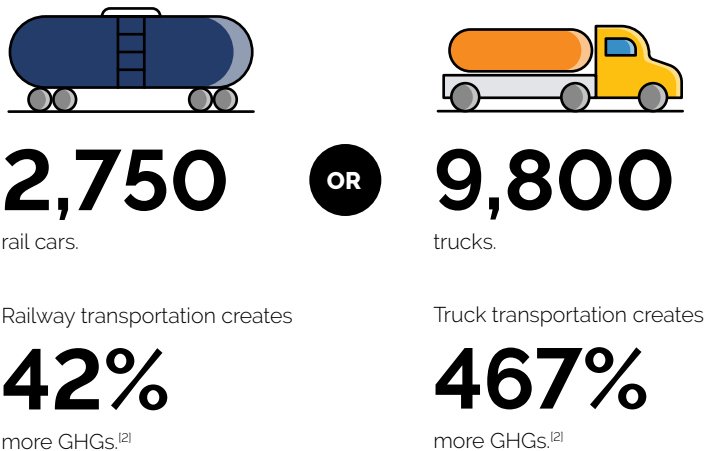
These are our initial Scope 1 and 2 GHG emissions disclosures. This data will allow us to continue assessing the feasibility of GHG reduction measures such as increasing energy efficiency, switching diesel pumps to electric and utilizing renewable energy sources.

Scope 1 and 2 Emissions^[1]



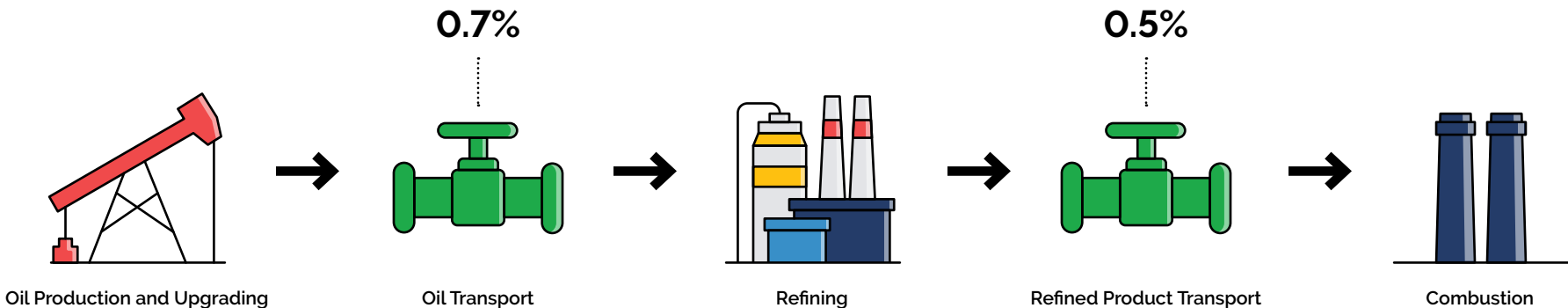
[1] U.S. only. Does not include emissions from assets sold on October 8, 2021. See page 44 for further information regarding the GHG calculations.

Transporting the volume NuStar moves through its pipelines in one day would require approximately



[2] Source: "Pipelines Have the Lowest Greenhouse Gas Emissions" Association of Oil Pipe Lines 2021

Pipelines Proportions of Emissions^[3]



[3] Sources: "Crude Oil Investing in a Carbon Constrained World: 2017 Update", ARC Energy Research Institute, using input data from the U.S. Department of Energy National Energy Technology Laboratory to define the U.S. Refined Average (2014), 2017

Environmental Management Program

We are dedicated to proactively ensuring environmental excellence by integrating it into our operations, which are subject to extensive international, federal, state and local environmental laws and regulations regarding the discharge of materials into the environment, waste management, remediation, fuel composition and greenhouse gas emissions. In 2021, our capital expenditures attributable to environmental regulatory compliance totaled \$6.4 million. We are investing in emissions reduction equipment and technology to prevent and detect leaks and control emissions, including specialized internal floating roofs, external floating roofs, vapor combustion units and vapor recovery units.

NuStar is committed to maintaining compliance with environmental permits, laws and regulations, as well as proactively ensuring the implementation of our Guiding Principles of Teamwork and Communication through our Environmental Management Program, which empowers our employees to work together to minimize our environmental impact, implement our commitment to biodiversity, manage environmental requirements and ensure people have the training to continue improving our environmental performance. Additionally, our employees work closely with our industry trade associations to develop and implement best practices and foster a cooperative relationship with government regulators, non-governmental organizations (NGOs) and other stakeholders.



**Now a member of
The Environmental Partnership^[1]**

^[1] The Environmental Partnership is comprised of companies in the U.S. oil and natural gas industry committed to continuously improving the industry's environmental performance

The heart of our Environmental Management Program is the NuStar Safety and Environmental Management System (NuSEMS), which assures we incorporate a sustainability mindset in our work, with our Plan-Do-Check-Act (PDCA) cycle. The PDCA approach codifies continuous evaluation and improvement into our practices and procedures. We also utilize the American Petroleum Institute (API) 1173 Pipeline Safety Management System (PSMS), which reinforces the PDCA cycle. The PSMS also helps pipeline companies measure and improve HSE performance. Together, the NuSEMS and PSMS provide a strong foundation for our environmental and safety culture. To learn more about Occupational Health and Safety at NuStar, please refer to page 18 of this report.



Operational Safety and Preparedness

We focus on providing reliable, safe service to our customers and being responsible stewards of our communities, our employees and the environment. We are proud that in 2021, we were once again a leader in safety by maintaining a significantly better Total Recordable Incident Rate (TRIR) than the industry average and we continue to offer one of the safest options for responsibly transporting, delivering and storing liquid fuels. During 2021, our releases represented just 0.00068% of the 835 million barrels we moved, and we recently received the International Liquid Terminals Association's (ILTA) annual Safety Excellence Award for the 12th time.

Our excellent safety record is due to the dedication of our employees to NuStar's Guiding Principles of "Commitment" and "Safety," through our extensive inspection program and our Control Center oversight 24 hours a day, seven days a week and 365 days a year.

For our pipelines, our Control Center proactively identifies and prevents releases, using an Automatic Leak Detection system and flow and pressure monitors. Our primary control room also has redundant client and server hardware, redundant power and communications infrastructure and our backup control center is fully functional, tested and operated on a quarterly basis and located within 30 minutes of the primary control room.

We inspect over 99% of our pipeline miles with high-tech, in line inspection tools, with only 1% requiring other techniques. We are also dedicated to the safety of our storage tank facilities. For our storage tanks, we comply with American Petroleum Institute (API) internal and external inspection standards, such as API 653 Tank Inspection, Repair, Alteration and Reconstruction, and we maintain an integrity management program that includes daily audio, visual and olfactory inspections.

Our health, safety and environmental goal is simple: we aim for zero – zero injuries, zero incidents, zero releases. We strive to prevent any spills or incidents by participating in joint drills and exercises with regulatory agencies and performing internal exercises, including full-scale personnel deployment, tabletop exercises, equipment deployments and unannounced preparedness tests. During these exercises, we continuously evaluate and improve our Corporate and other Emergency Response Plans. Exercises like these enhance NuStar's ability to respond effectively across departments, regions and business units.





In 2021, NuStar...

Inspected

170

water-crossings.

Inspected more than

1,150

miles of pipeline.

Conducted

61

API internal tank inspections.

Performed more than

350

drills and exercises.

Conducted

255

API external tank inspections.

Completed more than

20,000

hours of emergency response, environmental and safety training.

Had over

300

agency inspections.

Completed over

10,000

aerial inspections across more than

285,000

miles.

Held over

200

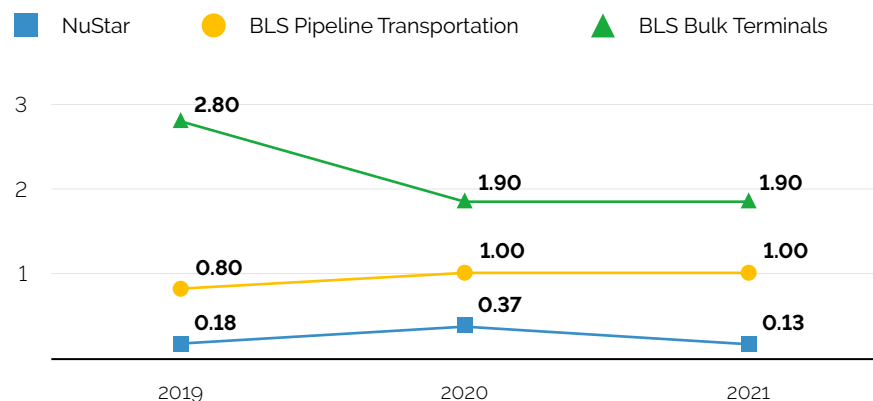
public awareness meetings.

Occupational Health and Safety

Safety is NuStar's first Guiding Principle, and the safety of our employees, contractors and communities is NuStar's #1 priority. In 2021, we are proud to have once again maintained one of the best Total Recordable Incident Rates (TRIR) and the highest number of Occupational Safety and Health Administration (OSHA) Voluntary Protection Program (VPP) Star Sites in the independent liquids storage industry. This leading safety record comes from our strong culture of empowering and engaging employees and contractors to put safety first in our daily operations. We make sure every employee and every contractor know that they not only can, but should, stop work if they feel there is anything unsafe about any given situation.

In 2021, as in years past, our dedication resulted in a safety performance substantially better than our peers. Our TRIR was 14.6 times better than the Bureau of Labor Statistics (BLS) comparison data for the Bulk Terminals Industry and 7.7 times better than that of the BLS Pipeline Transportation Industry. We also had zero Days Away, Restricted or Transferred (DART) injuries.

Three-Year Total Recordable Incident Rate^[1]



[1] Industry averages derived from 2019–2020 Bureau of Labor Statistics Data. 2020 averages carried forward to 2021 for illustration purposes.

VPP STAR SITES



91% of our eligible U.S. terminals have attained VPP Star Status, OSHA's certification recognizing employers and employees who demonstrate exemplary achievement in the prevention and control of occupational safety and health hazards and the development, implementation and continuous improvement of their safety and health management system.



Our strong safety record is due in large part to the emphasis our Chairman of the Board, CEO and senior management have placed on empowering our employees to put safety first through their support and commitment to the OSHA VPP. By prioritizing the OSHA VPP certification process, we have provided our employees with training, accountability and an ownership stake in our safety culture, which in turn drives our safety performance.

OSHA VPP is an elite program that promotes effective worksite-based safety and health. In the program, management, employees and OSHA establish cooperative relationships at workplaces that have implemented a comprehensive safety and health management system. Certification as a VPP Star Site is OSHA's official recognition of the outstanding efforts of employers and employees who have achieved exemplary occupational safety and health.

We are especially proud of how NuStar's employees embraced OSHA VPP. We have more VPP Star-certified sites than any other independent liquids storage company in the United States, and we plan to make 100% of our eligible sites VPP Star certified.

CALL BEFORE YOU DIG



We support and encourage all members of our communities in the United States to utilize the (811) Call Before You Dig service. NuStar responded to more than 80,000 Call Before You Dig Requests in 2021.



In addition to our companywide dedication to OSHA VPP, 15 NuStar employees have been recognized as OSHA Special Government Employees. These are NuStar employees who have been trained by OSHA to perform occupational health and safety audits at the plants and facilities of other companies. OSHA utilizes these trained individuals to perform audits on the companies, which brings enhanced expertise to the OSHA program and allows our employees to learn from the best practices at those facilities.



Landowner Relations

At NuStar, we highly value our relationships with landowners. We strive to be professional, courteous and respectful while performing work necessary to maintain our pipelines' integrity and safety.

From the onset of a pipeline project, one of the questions we ask is, "How can we protect biodiversity and safely minimize our impact on landowners' property and the environment?" For example, during our early route analysis, we identify populated areas as well as culturally and environmentally sensitive areas and take steps to either try to avoid them, minimize our footprint within these areas or mitigate our impact. Taking these steps, while following industry best practices, standards and regulations, is an integral part of our business.

After creating a preliminary route, we work with landowners to explain the project and how it may impact their property. We offer fair compensation for necessary land rights. During these discussions, we work with landowners to preemptively identify any concerns an individual landowner may have that would require mitigation, such as impact to farming or ranching activities. Before construction begins, we also provide the planned work schedule to each landowner to ensure they are informed of our activities. Upon completion of the project, we then work to restore the affected areas back to their original condition, or better.

Our dedication to and communication with landowners does not stop once a project is complete; NuStar's Operations and Real Estate Groups are dedicated to building upon and improving these relationships. We notify landowners of upcoming maintenance work, provide details on the work's anticipated duration and do our best to address their concerns as part of that process.

We work hard to assure we always treat landowners and their property with respect. We consider ourselves guests while on landowners' property, and we strive to perform all necessary work in a safe manner, to protect the landowner, their property and the environment.



Social Responsibility

Building Sustainable Communities

NuStar is dedicated to making a difference in the communities where we live and operate. We provide engaging and fulfilling jobs with great wages and benefits for our employees and deliver the fuels that make lives convenient, safe and affordable.

Employee Engagement, Development and Training

NuStar's culture revolves around our nine Guiding Principles: safety, integrity, commitment, make a difference, teamwork, respect, communication, excellence and pride. We believe that these principles are the building blocks for NuStar's success and have helped us to recruit and retain the best employees and make NuStar a great place to work. NuStar has been recognized on FORTUNE Magazine's "100 Best Companies to Work For" list 12 times, FORTUNE's "Best Workplaces for Millennials" list five times and was also recognized in 2021 and 2022 by Latino Leaders Magazine as a "Best Company for Latinos to Work For," as well as one of the "Best Workplaces for Parents." NuStar also has been recognized as a top employer by regional and local publications.

Our Compensation Department evaluates companywide racial and gender equity by job profile every time a new employee is hired or an existing employee is recommended for a promotion. This helps ensure that compensation levels are equitable for all employees throughout the year, no matter their race or gender.

RECENT AWARDS AND HONORS



Taking Care of Our Employees

Our company is much more than a collection of pipelines and terminals. NuStar's number one asset has been and always will be our employees. We believe that if you take care of your employees, they will take care of the company, our unitholders and our communities.

Every decision – large and small – is made through the filter of what is best for our employees. One of the best examples of this philosophy in action is how well NuStar's senior management cared for our employees throughout the pandemic. We conducted free rapid tests for COVID-19 every week; coordinated vaccine clinics; offered much-needed supplies at no cost; provided complimentary lunch and snacks to employees; upgraded HVAC systems; stepped up sanitation efforts; and much more.

Another major part of our culture of caring is NuStar's generous benefits packages. We are proud to provide our employees with one of the best health and welfare benefits packages in the industry^[1], as well as resources to support every aspect of their well-being. NuStar offers a premium healthcare benefits package that covers 100% of an employee's family healthcare, with several different choices, great flexibility and security – all without employees having to invest a dime in their basic benefits package.

[1] According to McGriff, one of the nation's leading HR benefits consultants



In addition to our stellar benefits, NuStar provides many programs to reward and recognize our employees, encourage a healthy lifestyle and help them achieve financial stability. These include an all-employee bonus, service awards, employee appreciation gifts, complimentary wellness assessments, a fitness membership subsidy, adoption assistance, and more.

We also recognize that our employees' talent, commitment and hard work underpins NuStar's success. We encourage and enable our employees to advance their skills and achieve their potential, through our various leadership and development opportunities through defined career paths, professional training, educational reimbursement and scholarships for higher education.^[1]

We believe our efforts to take care of our employees while helping them thrive in their careers are the primary driver of our low 3.9% voluntary turnover rate.^[2]

[1] For employees' dependents

[2] Excludes retirements

3.9%

voluntary turnover rate

\$772,000+

provided to employees in need through NuStar's SAFE fund

SAFE FUND

NuStar Chairman Bill Greehey established the NuStar Support Aid for Family Emergencies (SAFE) fund as a means for providing financial assistance to employees and their immediate family members, including spouses, children, stepchildren and adopted/foster children. NuStar awards grants to employees affected by unexpected hardships, losses, expenses or tragedies. This initiative highlights our dedication to our employees, in and outside of the workplace. NuStar presents the SAFE fund amount as a gift that the employee does not have to repay and, since its inception in 2007, has provided over \$772,000 to employees in need.





Community Involvement and Development

We collaborate with local organizations to advocate for safe, vibrant and sustainable communities. NuStar and our employees take great pride in giving back and building a brighter future for our neighbors by contributing time, talent, money and other resources to hundreds of community initiatives each year.

Brad Barron, our CEO, is one of the 12 founding members of the Corporate Partners for Racial Equity.

The mission of this partnership is to improve racial equality in the community. Many of the founding business members, including NuStar, are jointly contributing \$13.8 million over the next five years to support initiatives for underserved people in three focus areas — equitable education, economic opportunity, and community safety and justice.

UNITED WAY

The United Way continues to be NuStar's top community priority, as we believe it is the best organization that reaches out to meet the critical needs of the entire community. That is why we are so proud that 99% of our U.S. employees contributed to our United Way campaign in 2021. Thanks to our employees' and our directors' generous gifts and our company match, we pledged over \$4 million to United Way in 2021. **Moreover, our headquarters average per capita contribution is the highest in the nation.**



St. James Parish

At NuStar, we take great pride in our dedication to serving our neighbors. Our St. James, Louisiana employees, many of which live in the Parish, are especially focused on giving back to their community. One of our most cherished local relationships is with the Mount Triumph Baptist Church. This church has been a pillar of the St. James community for well over a hundred years. In 1906, the church purchased a bell that rang any time someone in the community passed, in honor of the person and their family. However, this 115-year-old bell has been inoperable for the last 10 years.

Pastor Joseph had received many unfulfilled promises from various groups to repair the bell. When the Pastor told Jean Zeringue, NuStar's Gulf Coast General Manager, about the unsuccessful efforts to restore the bell, Mr. Zeringue along with Aaron Martines and Henry Schexnayder, knew NuStar could take on the restoration of the bell and deliver on the promise. Mr. Zeringue was recently honored by the church for his dedication to restoring the bell. Supporting the community where we operate is an important part of our culture.

In addition to public service, St. James employees are dedicated to safe, environmentally responsible operations. The facility has been an OSHA Voluntary Protection Program (VPP) Star Facility for over 10 years, twice recertified and a Gulf Coast Safety Council Safety Excellence winner every year since the award was first given in 2013. Moreover, our St. James facility has two employees selected by OSHA to serve as safety experts performing audits for other companies as Special Government Employees. In addition, a Safety Supervisor, a Lead Environmental Specialist and employees on each shift are trained as First Responders.

Additional community outreach activities include:

- Donated supplies, books and funds to local schools
- Volunteered time, materials and services for community improvement projects
- Planted over 700 new trees in the community
- Provided 800 masks, sanitizer bottles and gloves to local community during height of COVID-19
- Organized food drive donations for the LA Food Bank, servicing St. James

HAVEN FOR HOPE

NuStar has a special relationship with Haven for Hope, an innovative homeless transformational campus in San Antonio, Texas that is widely recognized as the national model in the fight against homelessness. Bill Greehey, NuStar's Chairman of the Board, is one of the organization's founders and serves as Chairman for Haven for Hope. Haven for Hope opened in 2010, but NuStar has supported the organization since prior to its inception. Since 2005, NuStar employees have volunteered their free time and contributed generously to Haven for Hope to help the organization develop into what it is today by providing everything from pro bono professional services, to physical labor to monetary donations. Haven for Hope is now one of the most successful philanthropic organizations in the San Antonio region, and NuStar employees continue to support Haven's work and mission.

The NuStar NuHope Golf Classic raises more money than most PGA Tour events and is one of the most successful amateur golf tournaments in the nation. Through the support of our business partners and friends, the event has raised \$50 million to help Haven for Hope in their fight against homelessness.

Haven for Hope is a place where miracles happen every day and tens of thousands of individuals and families have transformed their lives. Since becoming fully operational in 2010, over 21,000^[1] individuals have been moved from homelessness to permanent housing and higher levels of care. Haven for Hope's transformational campus provides intensive services for single men, women and families with children such as: short-term residential housing on campus, substance abuse and mental health treatment, employment, education and legal services, life-skills training, healthcare and childcare.

Working together, NuStar and its Chairman also provide back-to-school shoes and fully supplied backpacks to students in shelters throughout our community, as well as gifts for families during Christmas through the company's "Adopt-A-Family" program, and a Christmas dinner for families on the Haven for Hope campus, complete with stockings and gifts.

[1] As of June 30, 2022



VOLUNTEER COUNCILS

At NuStar, we know that money doesn't always solve problems — people do. That's why our volunteers, known as the "NuStar Superstars," are active in our communities and spend many hours of their personal and professional time serving their communities through projects such as fundraising initiatives, community clean-up events and educational outreach programs.

To promote employee engagement and cultural development within the company, NuStar's Volunteer Council is entirely employee driven. The overwhelming employee involvement in philanthropy creates a strong camaraderie among employees, providing an avenue to connect and bond outside of the office and everyday tasks.



Governance

Responsible Oversight for a Sustainable Future

Sustainability is about maintaining responsible oversight. Being a sustainable company boils down to being a responsible corporate citizen.

Corporate Governance

Our business is managed under the direction of our Board of Directors (Board). The members of our Board are elected by our unitholders, and our Board is led by its Chairman, Bill Greehey. Consistent with best practices, our Board is composed of 80% independent directors^[1] and brings a diverse set of perspectives, expertise and experience to overseeing our business. The Chairman and our CEO are the only non-independent members of our 10-member Board.^[1] Our Board has appointed Dan J. Hill as its independent presiding director to serve as a point of contact for unitholders wishing to communicate with the Board, to lead executive sessions of the non-management directors and to ensure independent oversight.

Our Board has adopted [Corporate Governance Guidelines](#) which establish general principles for key governance matters, including evaluating director independence. Our Board also has standing Audit, Compensation and Nominating/Governance and Conflicts Committees, which support the Board's oversight responsibilities. The Audit, Compensation and Nominating/Governance and Conflicts Committees of the Board are each composed entirely of directors who meet the independence requirements of the New York Stock Exchange (NYSE) listing standards. Each member of the Audit Committee also meets the additional independence standards for Audit Committee members set forth in the regulations of the Securities and Exchange Commission (SEC) and meets applicable financial literacy standards.

[1] As of 2022 Annual Meeting

80%

independent directors

100%

independent Board committees



During 2021, one of our directors retired and we added two new directors. Our Board of Directors^[1] is pictured above.

CONTACT OUR BOARD OF DIRECTORS



To communicate with our Board, our non-management directors or our independent, presiding director, you may send a written communication addressed to "Board of Directors," "Non-Management Directors" or "Presiding Director" in care of our Corporate Secretary at corporatesecretary@nustarenergy.com or 19003 IH-10 West, San Antonio, Texas 78257.

- **[Audit Committee](#)**

The Audit Committee reviews and reports to the Board on various auditing and accounting matters, including the quality, objectivity and performance of our registered public accounting firm (our independent auditors) and our internal audit function, the adequacy of our internal controls over financial reporting and the reliability of financial information reported to the public. The Audit Committee has sole authority over the retention, evaluation, compensation and oversight of the work of our independent auditors, who report directly to the Audit Committee. The Audit Committee reviews our internal audit plan and all significant internal audit reports. The Audit Committee also monitors financial risk exposure, risk assessment and risk management policies, as well as our compliance with legal and regulatory requirements.

- **[Compensation Committee](#)**

As a limited partnership, we are not required by NYSE rules to have a compensation committee. However, our Board has established a Compensation Committee to review and report to the Board on matters related to compensation strategies, policies and programs, including certain personnel policies and policy controls, management development, management succession and benefit programs. Our Compensation Committee approves the compensation for our executive officers and approves and administers our equity compensation plans, incentive bonus plan and all performance measures established for awards under those plans. The Compensation Committee also conducts periodic reviews of director compensation and makes recommendations to the Board regarding director compensation.

- **[Nominating/Governance and Conflicts Committee](#)**

As a limited partnership, we are not required by NYSE rules to have a nominating committee. However, our Board created a Nominating/Governance and Conflicts Committee to identify candidates for membership on the Board, recommend director nominees and oversee our [Corporate Governance Guidelines](#) and Board assessment process. Pursuant to our partnership agreement and our policy governing related party transactions, the Nominating/Governance and Conflicts Committee also reviews and resolves certain potential conflicts of interest.

Each year, our Board and each of its committees complete a self-evaluation to assess their effectiveness and to ensure our directors reflect an appropriate range of talents, expertise and backgrounds.

Each committee reports to the Board on a regular basis, including as appropriate with respect to each committee's risk oversight activities, as illustrated below:

Audit Committee

- Integrity of financial statements
- Accounting and audit oversight
- Independent auditor oversight
- Internal auditor oversight
- Annual and quarterly disclosures
- Legal and regulatory compliance
- Overall risk assessment and management process

Compensation Committee

- Compensation program risks
- Compensation disclosures
- Executive succession planning
- Alignment of compensation with long-term strategy
- Financial, operational, ESG and HSE performance metrics

Nominating/Governance and Conflicts Committee

- Corporate governance matters
- Director independence
- Board and committee effectiveness
- Director nominations
- Annual Board assessment process
- Conflicts of interest

Risk Management

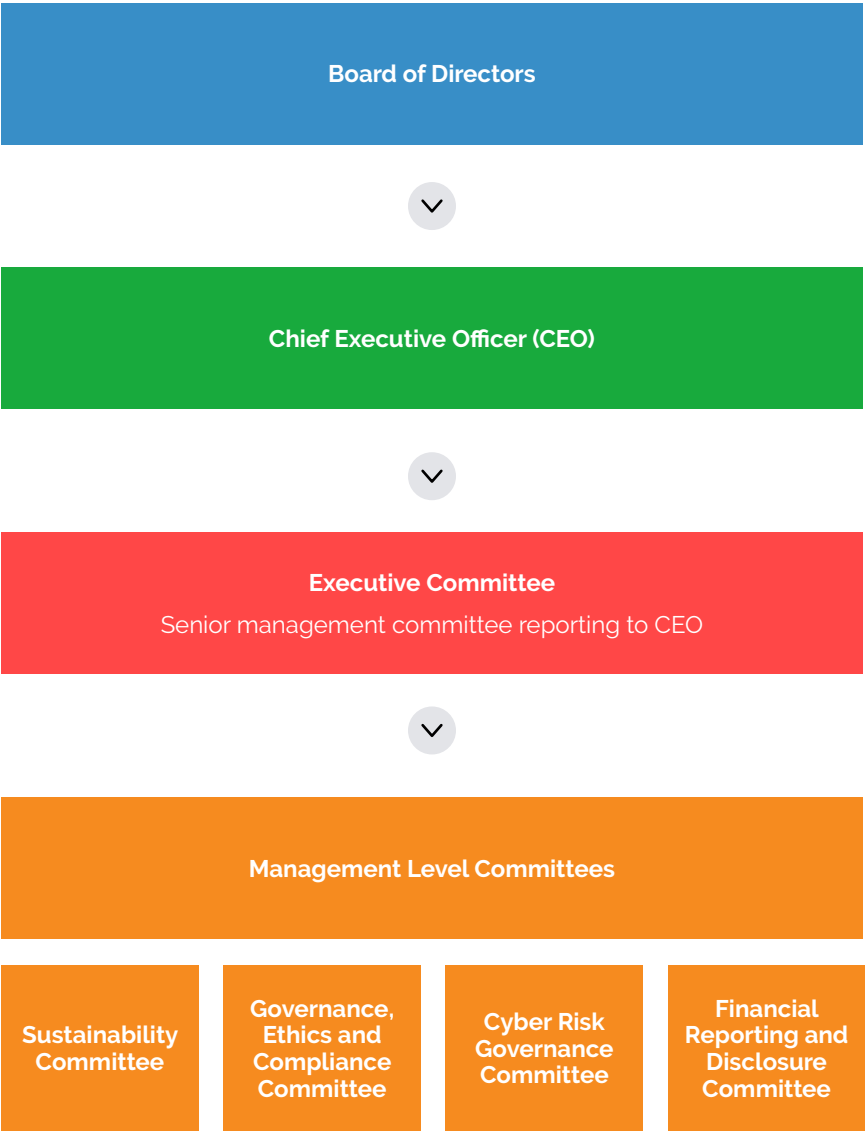
Our Board takes a comprehensive approach to oversight of ESG matters with accountabilities designated across all Board Committees. The Board is responsible for identifying and understanding our principal business risks, including sustainability risks, and overseeing management's efforts in monitoring, managing and mitigating those risks.

Although management has the day-to-day responsibility for identifying, assessing and managing our risk, the Board and its committees oversee those efforts. The Board interfaces regularly with management and receives periodic reports that include updates on the following areas:

- Community investment
- Cybersecurity
- Diversity and inclusion
- Employee wellness
- ESG and sustainability
- Financial performance
- Health, safety and environmental program
- Internal controls
- Legal matters
- Operational results

At least once annually, the Board holds a meeting devoted to strategic planning, including identifying and addressing strategic risks and potential opportunities and evaluating matters such as ESG, sustainability and energy transition.

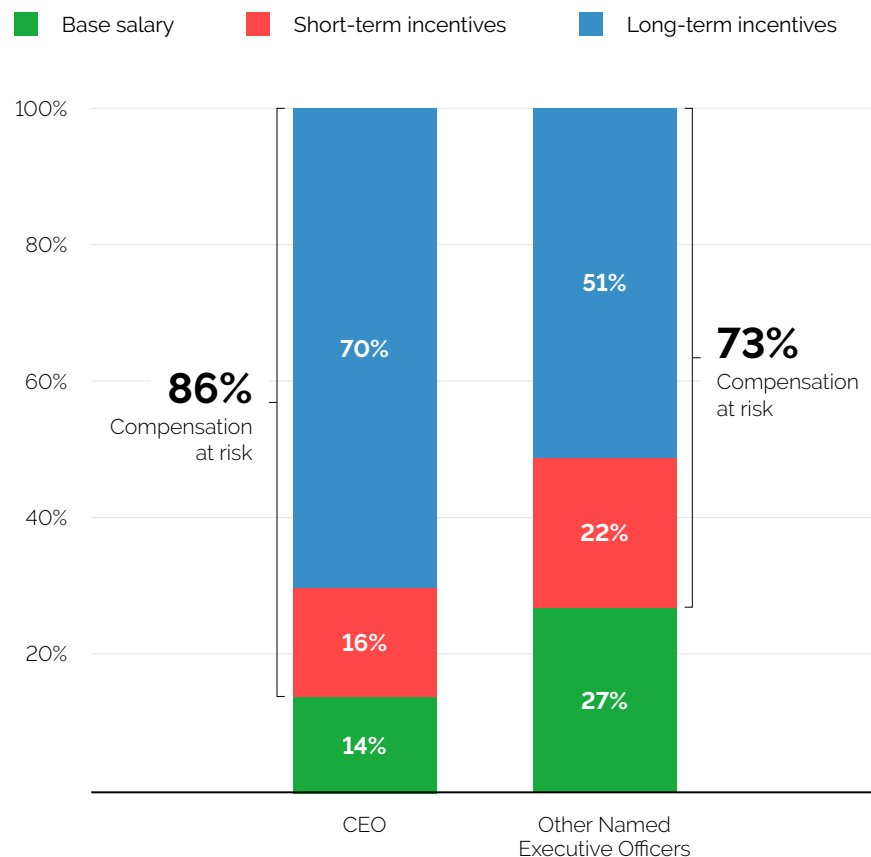
Board Oversight of ESG Matters



Executive Compensation

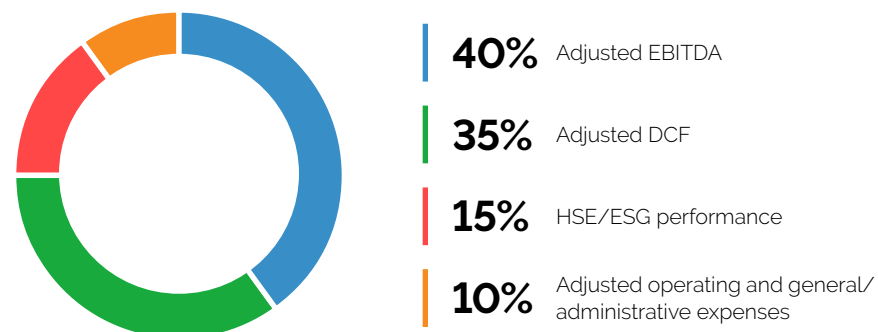
Our executive compensation program focuses on pay-for-performance to align NuStar's strategic priorities and management's interests with those of our investors. We base our philosophy for compensating our executive officers on the belief that a significant portion of executive compensation should be incentive-based and determined by both the performance of NuStar and each executive's individual performance.

At-Risk Compensation



Front (left to right): Jorge del Alamo, Senior Vice President and Controller; Mary Rose Brown, Executive Vice President and Chief Administrative Officer; Brad Barron, President and CEO; Amy Perry, Executive Vice President-Strategic Development and General Counsel. **Back (left to right):** Manish Kapoor, Senior Vice President and Chief Information Officer; Mark Trexler, Senior Vice President-Operations and HSE; Tom Shoaf, Executive Vice President and Chief Financial Officer; Danny Oliver, Executive Vice President-Business Development and Engineering

2021 Annual Incentive Bonus Performance Measures



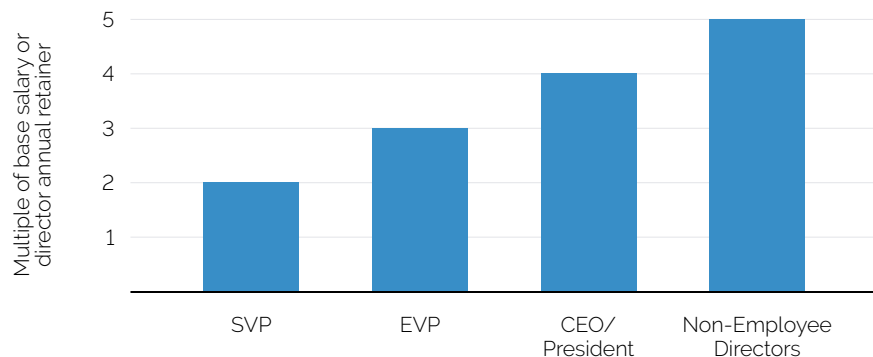
For 2021, 15% of target annual bonus was measured by NuStar's overall HSE and ESG performance.

We have designed our executive compensation programs to accomplish the following long-term objectives:

- Increase value to unitholders, while practicing good corporate governance;
- Support our business strategy and business plan;
- Provide flexibility to respond to the continually changing environment;
- Align executive incentive compensation with short- and long-term performance results and
- Provide market-competitive compensation and benefits to retain and attract top talent.

Additionally, our Board and our executives are invested in NuStar's future through their ownership of NuStar units. Our independent directors are each required to acquire and hold NuStar units with an aggregate value of five times their annual cash retainer.

Senior Executive Team and Non-Employee Directors: Required NuStar Energy Unit Ownership



Manish Kapoor (left), Senior Vice President and Chief Information Officer, and Brad Barron, President and CEO, serve food to individuals at Haven for Hope, an innovative homeless transformational campus in San Antonio.

Veteran Employee Engagement

At NuStar, our strong support of Veterans comes from the top. Our Chairman, Bill Greehey, is a proud Veteran with his service of four years in the United States Air Force. Headquartered in Military City, USA® (San Antonio, Texas), NuStar employs over 120 current and former military members whose experience serving in the military enriches our culture and advances our mission. These employees represent nearly 10% of our entire workforce.

Veterans and employees currently serving in the military Reserve and National Guard are an integral part of the NuStar family. From our control room to facility operations and positions in management, Veterans serve across all levels of our company. These Veterans take pride in their ability to continue their service to our Nation by providing our communities and military installations with the reliable fuels needed to maintain our economic and national security.

We also work with service-disabled, Veteran-owned businesses, especially those supporting other Veterans. For example, NuStar has invested with Drexel Hamilton, which along with Goldman Sachs, launched a money market fund (VETXX) that supports the training and employment of disabled Veterans.

Additionally, NuStar specifically recognizes each of our Veteran employees every Veterans Day. Our generous employees have also supported military and Veteran organizations including Operation Home Front, Honor Flight, Flags for Heroes, Medal of Honor Mail Call, Soldier's Angels Treats for Troops, Patriot Challenge/Run Ranger Run, the Military Working Dog Foster Program and Wreaths Across America.

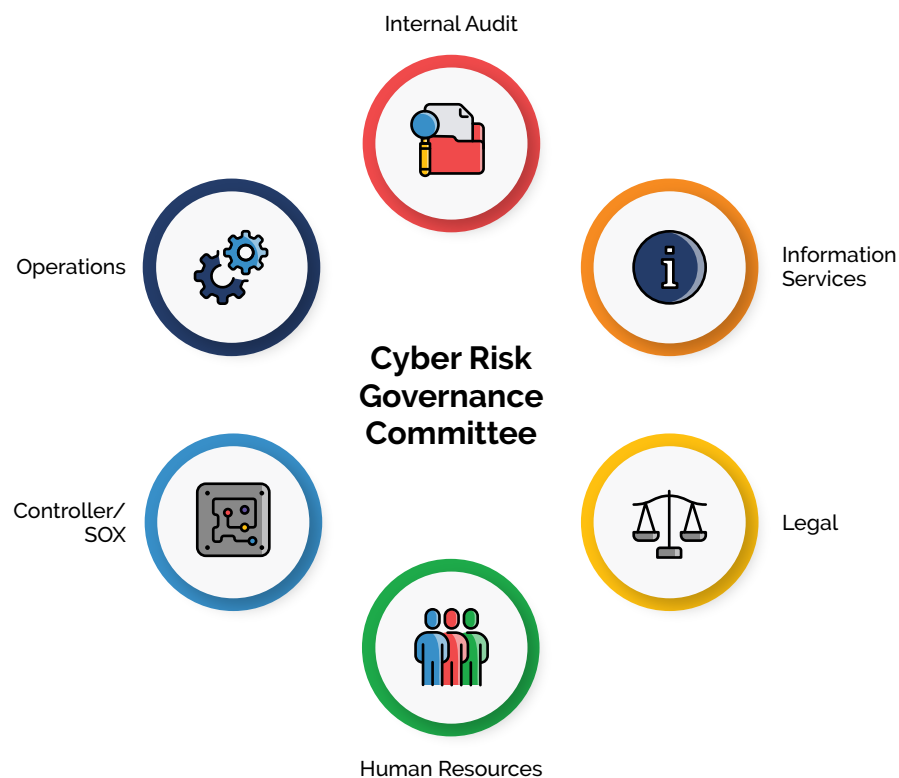
Thank you to our Veterans and their families! NuStar is proud of their service and values the discipline learned in defending our Nation and the diversity our Veterans add to our work force.



Cybersecurity

As an operator of critical energy infrastructure, we recognize the criticality of cybersecurity. We have built and continue to improve a robust program designed to prevent, detect and respond to potential cybersecurity threats.

Our cybersecurity program incorporates multiple layers of security, with appropriate segregation of systems and user access, which lay the foundation for a secure environment. In addition, our Cyber Risk Governance Committee, which is composed of management representatives from six key functions across our company, oversees the effectiveness of our cybersecurity program and regularly reports to our Board and executive management.



We regularly assess our cybersecurity program against the National Institute of Standards and Technology (NIST) cybersecurity framework and undertake numerous other activities to protect NuStar, including:

- Participating in industry, peer and government cybersecurity groups;
- Conducting vulnerability scanning, patch management and penetration tests across our systems;
- Maintaining a Cyber Incident Response Plan and conducting cross-organizational tabletop exercises;
- Undertaking regular risk assessments and
- Conducting annual cybersecurity training for all employees, with 'refresher' activities throughout the year.

Code of Business Conduct and Ethics

At NuStar, we treat everyone with equal respect, we give back to our communities, we protect the environment, and we demand that our employees hold themselves and others to the highest ethical standards.

Ethical behavior is part of our foundation and our [Code of Business Conduct and Ethics](#) sets forth our expectations about how we conduct ourselves.

Our Governance, Ethics and Compliance Committee monitors, reviews and updates our Code of Business Conduct and Ethics annually. Working under the CEO, the committee is composed of members of management representing numerous functions to cover unique issues across the organization and ensure broad participation. Our General Counsel serves as our Governance, Ethics and Compliance Officer and chairs the committee.

Every employee is required to acknowledge NuStar's Code of Business Conduct and Ethics annually and refresh their knowledge through regular training. To encourage active participation and engagement, we alternate types of trainings between in-person and computer-based programs and provide training on a variety of related topics.

We empower our employees to report concerns without fear of retaliation. In addition to encouraging reporting to a supervisor, a member of management, a member of the Legal or Human Resources departments or our Governance, Ethics and Compliance Officer, we have an ethics hotline maintained by an independent third party. Our ethics hotline is accessible 24 hours a day, 7 days a week, 365 days a year in multiple languages, and it provides a mechanism for anyone to report a concern anonymously, if desired. We take all concerns seriously and follow the necessary protocols to investigate and resolve them effectively and efficiently, while taking precautions to maintain confidentiality.



ETHICS HOTLINE



Call: 1-877-707-8685 (For Mexico: 001-877-707-8685)

On the web: nustarenergy.ethicspoint.com



Data Tables

Our performance metrics are informed by guidance and definitions from the Energy Infrastructure Council (EIC) Reporting Template and the Oil & Gas – Midstream Sustainability Accounting Standards Board (SASB) Standard as well as generally used industry standards or best practices. Unless otherwise noted, all information, data and metrics in this report are as of December 31, 2021. For any questions regarding our performance metrics, please contact NuStar at Sustainability@NuStarEnergy.com.

EIC Index

Metric	Unit	2021	2020	2019
ACTIVITY				
EBITDA ^[1]	USD	530,478,000	317,835,000	363,660,000
Adjusted EBITDA from continuing operations ^[1]	USD	704,586,000	723,241,000	667,582,000
Gross throughput	Bbls	835,000,000	817,000,000	811,000,000
Miles of pipeline	Mile	9,935	9,910	9,960
Carbon accounting basis for data	Operational/Equity/ Financial	Operational	—	—
ENVIRONMENT				
Hydrocarbon Releases				
Number of hydrocarbon liquid releases beyond secondary containment > 5 bbl	#	2	7	5
Volume of hydrocarbon liquid releases beyond secondary containment > 5 bbl	Bbls	744	575.31	10,957.52
Hydrocarbon liquid releases intensity per mile of pipeline	Bbl/Mile	0.09996	0.05805	1.10015

[1] For reconciliations of non-GAAP financial measures to their most directly comparable GAAP measures, see [page 45](#) and [page 46](#).

Metric	Unit	2021	2020	2019
Emissions				
Total GHG emissions (Scope 1 and Scope 2) ^[1]	MT CO ₂ e	309,585	—	—
Scope 1 GHG emissions	MT CO ₂ e	128,236	—	—
Scope 2 GHG emissions	MT CO ₂ e	181,349	—	—
Total GHG emissions (Scope 1 and Scope 2) intensity	MT CO ₂ e/Thousand BOE	0.37076	—	—
Does the company participate in an external emissions reduction program?	Yes/No	Yes	—	—
Asset Diversification and Biodiversity				
Does the company participate in any efforts to expand the share of alternative/renewable energy sources in the company's portfolio? If yes, please provide links to ESG reports, webpages and other disclosures as support.	Yes/No	Yes	Yes	Yes
Does the company have a biodiversity policy or commitment for new and existing assets?	Yes/No	Yes	Yes	—
SOCIAL				
Total Recordable Incident Rate (TRIR) – employees	#	0.13	0.37	0.18
Days Away, Restricted or Transferred (DART) – employees	#	0	0.25	0.12
Days Away, Restricted or Transferred (DART) for major growth projects – contractors	#	1	0	—
Fatalities – employees	#	0	0	0
Fatalities – contractors	#	0	0	0
Does the company have an indigenous engagement policy or commitment for new and existing assets?	Yes/No	Yes	Yes	—

[1] U.S. only. Does not include emissions from assets sold on October 8, 2021. See page 44 for further information regarding the GHG calculations.

Metric	Unit	2021	2020	2019
Workforce that is female	%	19.8%	—	—
Workforce from minority groups (EEOC defined)	%	31.6%	—	—
Workforce covered under collective bargaining agreements	%	4.5%	—	—
Amount invested in local communities per every \$100,000 of adjusted EBITDA	USD	837	—	—
GOVERNANCE				
Diversity				
Directors that are female	%	10%	11.10%	11.10%
Corporate officers (VP and up) that are female	%	21%	—	—
Directors from minority groups (EEOC defined)	%	30%	—	—
Corporate officers (VP and up) from minority groups (EEOC defined)	%	11%	—	—
Is any director under the age of 50?	Yes/No	No	No	No
Directors				
Independent directors	%	80%	77.80%	77.80%
How many directors received less than 80% votes cast in favor when running unopposed in last 5 years?	#	None	None	None
Does the company have a formal ESG oversight structure with associated accountability?	Yes/No	Yes	—	—
Does the company have directors with risk management experience?	Yes/No	Yes	Yes	Yes

Metric	Unit	2021	2020	2019
Compensation				
Has the company received less than 70% support for Say On Pay in any of the last 5 years?	Yes/No	No	No	No
What percentage of CEO target pay is performance-based?	%	40.56%	40.70%	40.70%
What percentage of CEO target pay is equity-based?	%	69.93%	61.90%	61.90%
Are there any shareholder return metrics (total return, return on invested capital, etc.) in any NEO equity compensation plan?	Yes/No	Yes	Yes	Yes
Is at least 10% of Named Executive Officer (NEO) short-term incentive (STI) or long-term incentive (LTI) linked to E or S metrics?	Yes/No	Yes	Yes	Yes
Does the company tie any amount of pay for all employees to ESG objectives?	Yes/No	Yes	Yes	Yes
Share Ownership				
Have any corporate officers or directors made share purchases with personal funds in the last 5 years?	Yes/No	Yes	Yes	Yes
Cybersecurity				
Does the company undertake any of the following to manage cybersecurity risk?				
Mandatory employee training	Yes/No	Yes	Yes	Yes
Adherence to industry cybersecurity standards	Yes/No	Yes	Yes	Yes
Ongoing evaluation of the threat landscape	Yes/No	Yes	Yes	Yes

Metric	Unit	2021	2020	2019
Limited Partnership				
Does the company publish an annual proxy statement?	Yes/No	Yes	Yes	Yes
Does the company have an IDR structure?	Yes/No	No	No	No
What is the ownership structure of the General Partner?	Externally or Sponsor-owned / Wholly owned by the MLP / other	Wholly owned by the MLP	Wholly owned by the MLP	Wholly owned by the MLP
What percentage of the Limited Partnership board is elected by unit holders?	%	100% (1/3 per year)	100% (1/3 per year)	100% (1/3 per year)
What level of detail does the Limited Partnership publicly provide regarding compensation of named executives?	Full, Partial, None	Full	Full	Full
Does the Limited Partnership have stock ownership guidelines in place for the CEO?	Yes/No	Yes	Yes	Yes
What multiple of the CEO's base salary is he or she required to own in Limited Partnership units?	X times	4	4	4
Does the Limited Partnership have stock ownership guidelines in place for directors?	Yes/No	Yes	Yes	Yes
If directors receive an annual cash retainer, what multiple of such annual cash retainer is he or she required to own in Limited Partnership units?	X times	5	2	2

SASB Index

Category	Number	Metric	Unit	2021	2020	2019
Greenhouse Gas Emissions ^[1]	SASB EM-MD-110a.1	Gross global Scope 1 emissions, percentage methane	MT CO ₂ e, Percentage	128,236.06, 0.03230%	—	—
Ecological Impacts	SASB EM-MD-160a.1	Description of environmental management policies and practices for active operations	N/A	Sustainability Report, page 15	Sustainability Report, pages 13–14	—
	SASB EM-MD-160a.4	Number and aggregate volume of hydrocarbon spills, volume in Arctic, volume in Unusually Sensitive Areas (USAs), and volume recovered (>1 bbl.)	Number	5	9	5
			Volume (bbl)	993.09	581.64	10,957.52
			Volume in Arctic (bbl)	0	0	0
			Volume in USAs (bbl)	2.34	0	0
			Volume recovered (bbl)	634	125.76	40
Competitive Behavior	SASB EM-MD-520a.1	Total amount of monetary losses as a result of legal proceedings associated with federal pipeline and storage regulations	USD	0	0	0
Operational Safety, Emergency Preparedness and Response	SASB EM-MD-540a.1	Number of reportable pipeline incidents, percentage significant (>1 bbl.)	#, %	9 reportable incidents, 44% (4) significant	10 reportable incidents, 60% (6) significant	8 reportable incidents, 63% (5) significant
	SASB EM-MD-540a.2	Percentage of hazardous liquid pipelines inspected	%	11.60%	23.08%	29.46%
	SASB EM-MD-540a.3	Number of accident releases and from rail transportation	#	0	0	0
	SASB EM-MD-540a.4	Discussion of management systems used to integrate a culture of safety and emergency preparedness throughout the value chain and throughout project lifecycles	N/A	Sustainability Report, pages 15–19	Sustainability Report, pages 13–14 and 18–21	—

[1] U.S. only. Does not include emissions from assets sold on October 8, 2021. See page 44 for further information regarding the GHG calculations.

Scope 1 and Scope 2 Greenhouse Gas (GHG) Calculations

While performing NuStar's inaugural GHG calculations, we referenced the World Resources Institute (WRI) "The Greenhouse Gas Protocol – A Corporate Accounting and Reporting Standard" revised edition, WRI "GHG Protocol Scope 2 Guidance" and the American Petroleum Industry (API) "Guidance Document for GHG Reporting" March 2022 edition. In addition, we referenced the calculation methods and emission factors from the EPA Center for Corporate Climate Leadership and EPA Compilation of Air Pollutant Emissions Factors (AP-42).

NuStar's inaugural GHG calculations utilized an operational control boundary and did not include emissions from equipment owned and used by contractors. The calculation included United States facilities and did not include facilities sold on October 8, 2021. During the GHG calculations, NuStar endeavored to balance the guidance from the above referenced sources with the principles of completeness, transparency and accuracy. As part of this balancing, we utilized certain assumptions including those listed below.

Assumptions used during the Scope 1 calculations included:

Crude Oil Tanks	Methane sampling indicated crude oil stored by NuStar for our customers has no significant methane emissions from tanks or fugitive sources and it was not included.
Engines	Where actual fuel consumption or runtimes were not available, assumptions were based on direct operational and process knowledge for comparable units.
Heater	Emissions from natural gas fired heaters are accounted for in natural gas usage and calculations. Where actual fuel consumption or runtimes were not available, assumptions were based on direct operational and process knowledge for comparable units.
Flares	AP-42 calculations and typical vapor composition analyses were used for the combusted vapors.
Non-Road Vehicles	We used operator knowledge of equipment types and typical hours of usage and fuel efficiencies published in manufacturer's specifications sheets. Where insufficient operator supplied information was available, we used similar equipment or estimated emission data based on average of data from all other facilities.
Refrigerants	Refrigeration maintenance was performed by contractors who supplied the refrigerant and equipment necessary for the maintenance. Therefore, only leakage was reported for Scope 1 emissions. Data included large refrigeration/chiller units with cooling capacities greater than 5 tons and did not include smaller units.
Purchased Natural Gas	Natural gas usage was aggregated at facility level, not based on equipment types. Emissions from natural gas consumed was based on general emission factors.
Fleet	We included company leased equipment and used fuel purchases and available mileage data to estimate mileage.

For Scope 2 calculations related to Purchased Electricity, usage was aggregated at the facility level and we used State emission factors when available.

Reconciliation of Non-GAAP Financial Information

NuStar Energy L.P. utilizes financial measures, such as earnings before interest, taxes, depreciation and amortization (EBITDA), distributable cash flow (DCF) and distribution coverage ratio, which are not defined in U.S. generally accepted accounting principles (GAAP). Management believes these financial measures provide useful information to investors and other external users of our financial information because (i) they provide additional information about the operating performance of the partnership's assets and the cash the business is generating, (ii) investors and other external users of our financial statements benefit from having access to the same financial measures being utilized by management and our board of directors when making financial, operational, compensation and planning decisions and (iii) they highlight the impact of significant transactions. We may also adjust these measures and/or calculate them based on continuing operations, to enhance the comparability of our performance across periods.

Our board of directors and management use EBITDA and/or DCF when assessing the following: (i) the performance of our assets, (ii) the viability of potential projects, (iii) our ability to fund distributions, (iv) our ability to fund capital expenditures and (v) our ability to service debt. In addition, our board of directors uses EBITDA, DCF and a distribution coverage ratio, which is calculated based on DCF, as some of the factors in its compensation determinations.

None of these financial measures are presented as an alternative to net income (loss), or for any periods presented reflecting discontinued operations, income from continuing operations. They should not be considered in isolation or as substitutes for a measure of performance prepared in accordance with GAAP.

The following is a reconciliation of net income (loss) to EBITDA.

	2021	2020	2019
Net income (loss)	\$38,225,000	\$(198,983,000)	\$(105,693,000)
Interest expense, net	\$213,985,000	\$229,054,000	\$183,038,000
Income tax expense	\$3,888,000	\$2,663,000	\$4,855,000
Depreciation and amortization expense	\$274,380,000	\$285,101,000	\$281,460,000
EBITDA	\$530,478,000	\$317,835,000	\$363,660,000

The following is a reconciliation of income (loss) from continuing operations to EBITDA from continuing operations and adjusted EBITDA from continuing operations.

	2021	2020	2019
Income (loss) from continuing operations	\$38,225,000	\$(198,983,000)	\$206,834,000
Interest expense, net	\$213,985,000	\$229,054,000	\$183,070,000
Income tax expense	\$3,888,000	\$2,663,000	\$4,754,000
Depreciation and amortization expense	\$274,380,000	\$285,101,000	\$272,924,000
EBITDA from continuing operations	\$530,478,000	\$317,835,000	\$667,582,000
Asset impairment losses	\$154,908,000	—	—
Goodwill impairment loss	\$34,060,000	\$225,000,000	—
Loss on sale of Texas City terminals	—	\$34,697,000	—
Loss on extinguishment of debt	—	\$141,746,000	—
Gain from insurance recoveries and other	\$(14,860,000)	\$3,963,000	—
Adjusted EBITDA from continuing operations	\$704,586,000	\$723,241,000	\$667,582,000

Disclaimer and Forward-Looking Statements

This Sustainability Report highlights our approach to managing our business, as well as our environmental, social and governance performance. This report uses qualitative descriptions and quantitative metrics to describe our policies, programs, practices and performance, many of which continue to evolve and are based on management assumptions believed to be reasonable at the time of preparation, but should not be considered guarantees.

Statements contained in this report other than statements of historical fact are forward-looking statements. While these forward-looking statements, and any assumptions upon which they are based, are made in good faith and reflect our current judgment regarding the direction of our business, actual results will likely vary, sometimes materially, from any estimates, predictions, projections, assumptions or other future performance presented or suggested in this presentation. These forward-looking statements can generally be identified by the words "anticipates," "believes," "expects," "plans," "could," "should," "may" and similar expressions. These statements reflect our current views with regard to future events and are subject to various risks, uncertainties and assumptions.

We undertake no duty to update any forward-looking statement to conform the statement to actual results or changes in the company's expectations. For more information concerning factors that could cause actual results to differ from those expressed or forecasted, see NuStar Energy L.P.'s annual report on Form 10-K and quarterly reports on Form 10-Q, filed with the SEC and available on NuStar's website at www.nustarenergy.com.

This report is not offering or soliciting material, is not filed with the Securities and Exchange Commission or intended to satisfy any rules or regulations issued by the Securities and Exchange Commission and is not to be incorporated by reference into any of NuStar Energy L.P.'s filings under the Securities Act of 1933, as amended, or the Securities Exchange Act of 1934, as amended, whether made before or after the date of this report and irrespective of any references or general incorporation language therein.

Unless otherwise noted, all information, data and metrics in this report are as of December 31, 2021.

